

costs, with most private equity funds requiring a significant initial investment (usually upwards of \$100,000). Trine didn't have a problem contributing the entry fee. In fact, she decided to invest half of her \$500,000.

Trine had been warned that there was a risk associated with private equity investments and that you can lose all your money if the private-equity fund is unable to turn around the failing company. However, Trine preferred the high risk. She knew the only way to make a lot of money quickly was to risk losing a lot. She still had \$250,000 in the bank, so she wasn't worried about the risk. If she made a bad investment decision, she was sure she could recoup her losses with future luckier investments.

At first, her investment proved profitable. She made a 30 percent return on her investment in the first six months. She wondered why she had worked eighty-hour weeks that first year at the Internet start-up when it was so easy to make money this way. Unfortunately, her luck never repeated itself. Trine's attraction to high-risk investments took its toll.

Before she knew it, she was taking more money out of the bank to add to her private equity investment. She thought it seemed ridiculous to keep the rest of her nest egg in the bank earning a low interest rate when she could dump it all into the private equity fund.

One day, she checked on her investment and learned that its value had plunged. Apparently the airline was now in bankruptcy with little hope of recovering. Before she knew it, her total investment was practically worthless.

If Trine had been honest with herself, she would have acknowledged that her initial research on the internet into private equity funds did not adequately prepare her as an investment expert. To become certified, a financial planner must study and pass a difficult exam. After that it takes years of experience and continual studying to begin to be qualified as an expert.

